

Organization

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Course agenda

Date	Main theme
13.04.2026	Definitional basics of organization
20.04.2026	Formal organizational design
27.04.2026	Organization and environment
04.05.2026	Strategic organization design
11.05.2026	Technology and organization
18.05.2026	Information technology, AI, and organization
01.06.2026	Informal organization

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08.06.2026	Informal organization
15.06.2026	Dynamic perspectives on organizing
22.06.2026	Guest lecture, Felix Ehrenfels, mmmake
06.07.2026	Trends in organization design
13.07.2026	Trends in organization design
17.07.2026	Review and wrap-up

Session 01

Definitional basics of organization:

Organizations as arrangements for coordinated action

What you should be able to do after this session

Learning goals

- Understand a standard definition of organization
- Identify core problems that organization helps solve
- Compare rational, natural, and open system views
- Relate organization and management

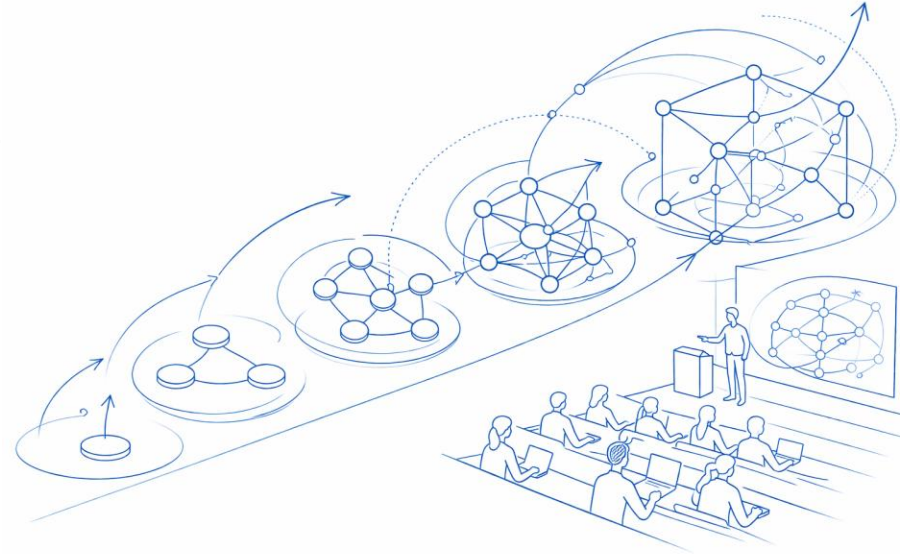


Image source: ChatGPT

Today's agenda



1. Definition of organizations
2. Key problems in organizations
3. Perspectives on organizations
4. Organization versus management
5. Exercise “University student consulting club”

In which organizations are you involved?

Briefly consult with your neighbor and share your results with the class.



Image source: ChatGPT

Organizations are everywhere, but look differently

Business firms

Small and medium-sized companies, global players, startups

Public bodies

Universities, hospitals, governmental authorities

Associations

NGOs, churches, sport and music clubs

Networks

Industry networks, platforms

→ **Different forms and scope, but shared organizing problems**

What organizations are expected to accomplish



- Bring together resources to achieve goals
- Facilitate innovation
- Create value
- Produce goods and services
- Adapt to and influence the environment
- Address ethics, diversity, motivation, and coordination

Two understandings of the term “organization”

Instrumental view

- Organization as an **instrument of management**
- Focus on the **rational design of rules and structures** for work processes
- Perspective of the **designer** of structure: Emphasis on planning, regulation, and implementation
- Two variants:
 - **functional**, organization as implementation of plans
 - **configurative**, organization as durable structural framework
- **Scope**: Tends to model structure as a planned design decision, while leaving deviations and unofficial modifications largely unexplained

Institutional view

- Organization as a whole **social system** or institution
- Focus on the **entire organization**, not only its formal structure
- Core features: specific goals, division of labor, boundaries
- Includes both planned order and unplanned processes
- Also captures functions and dysfunctions, as well as goal contradictions
- **Scope**: Broader perspective than the instrumental view, because it addresses phenomena the instrumental concept leaves out

A standard definition of organization

Social entities

People and relationships

Goal-directed

Oriented toward desired outcomes

Deliberately structured

Coordinated activity systems

Environment-linked

Resources and constraints matter

A caution: definitions are useful but incomplete



- Definitions make patterns visible
- They simplify highly diverse empirical realities
- Not all organizations look equally coherent or deliberate
- Use definitions as analytical tools, not exhaustive descriptions

A good definition clarifies, but it should not blind us to variation.

A caution: definitions are useful but incomplete

Social entities

People and relationships

→ Is a freelancer part of the organization?

Goal-directed

Oriented toward desired outcomes

→ Is there a singular goal?

Deliberately structured

Coordinated activity systems

→ Who structures the organization?

Environment-linked

Resources and constraints matter

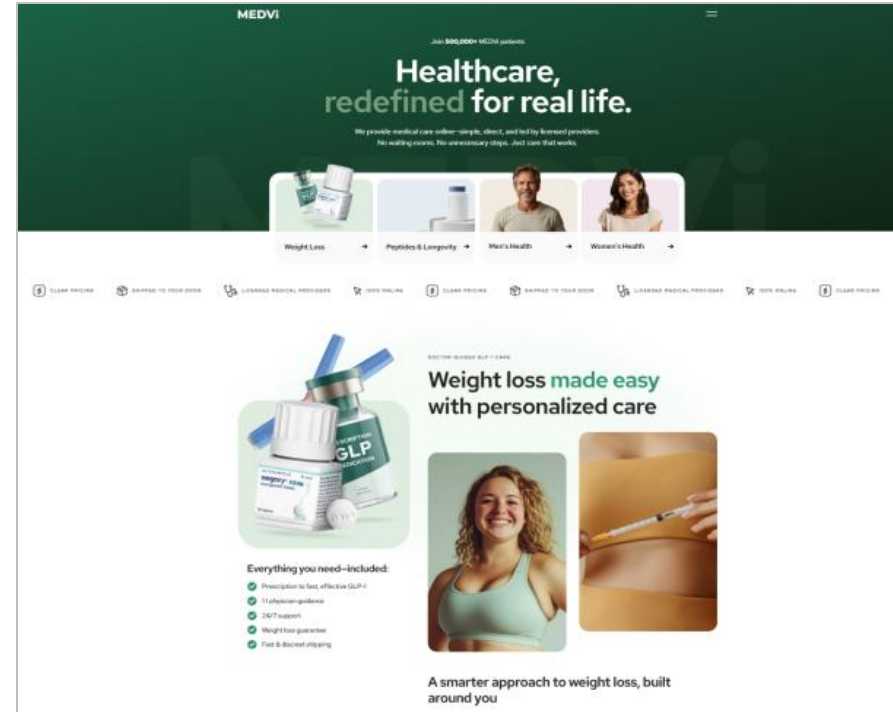
→ Is there a singular environment?

A caution: definitions are useful but incomplete

Medvi, extreme scale with minimal human headcount

- Medvi is a telehealth startup built around an extreme AI-first model.
- It reportedly runs with just 1 to 2 employees, while relying heavily on AI tools and outsourced partners.
- The founder said he used more than a dozen AI tools for coding, marketing, content, and customer interaction.
- In 2025, Medvi reportedly reached \$401 million revenue, 250,000 customers, and about \$65 million profit.

→ In what way is this a “social entity”?



<https://www.nytimes.com/2026/04/02/technology/ai-billion-dollar-company-medvi.html>

Apply the definition to an organization you know

Work with a neighbor and choose one organization you know well

- What are the main actors?
- What are the overall goals?
- Where do you see structure?
- How is it linked to the environment?

You will have 5 minutes

Be prepared to share your solution with the class.

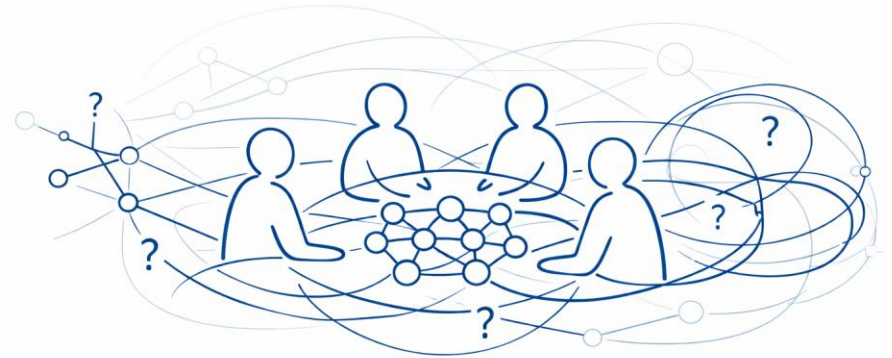


Image source: ChatGPT

Key problems of organizations

Key problem	How organizations address it
Structuring tasks and activities	Design formal structures, balance differentiation and integration
Ensuring motivation beyond compliance	Align individual needs with organizational goals, use human resource management and incentive systems
Coping with environmental uncertainty	Adapt structures and strategies, manage external relations and partnerships
Handling emergent processes	Combine formal rules with informal dynamics, influence political and symbolic dynamics
Managing change and adaptability	Implement change processes and build ongoing capacity for transformation

Three views on organizations

Rational systems

Definition

- Collectives pursuing specific goals and exhibiting highly formalized social structures

Affordances

- Clarifies the distinctive features of organizations
- Highlights goal specificity and formalization

Limits

- Can mislead when written rules have little influence on behavior
- Misses behavioral dynamics

Natural systems

Definition

- Collectives whose participants pursue multiple interests but recognize the value of joint resources.

Affordances

- Focuses on behavioral patterns, what participants actually do.
- Shows goals as multiple and subject to change.
- Highlights informal structures and power beyond formal position.

Limits

- Downplays features stressed by the rational view.
- Shifts attention from formal goals and formal structure.

Open systems

Definition

- Collections of interdependent flows and activities linking shifting coalitions embedded in wider environments.

Affordances

- Shows dependence on outside flows of personnel, resources, and information.
- Reveals how environments shape and infiltrate organizations.
- Expands analysis to larger systems.

Limits

- Makes organization-environment boundaries shifting and ambiguous.
- Is less concerned with formal versus informal structures.

Scott, W. R., & Davis, G. F. (2007). Organizations and organizing: Rational, natural, and open systems perspectives. Pearson Prentice Hall.

Three views on organizations

Rational systems



Natural systems



Open systems



Formal structure and organizing in practice are related, but not identical

Formal structure

- Official roles
- Reporting lines
- Formal decision rights
- Procedures and rules

Organizing in practice

- Workarounds and adjustments
- Informal communication
- Enacted coordination
- Local problem solving

→ **Organizations can only be understood when both are studied together.**

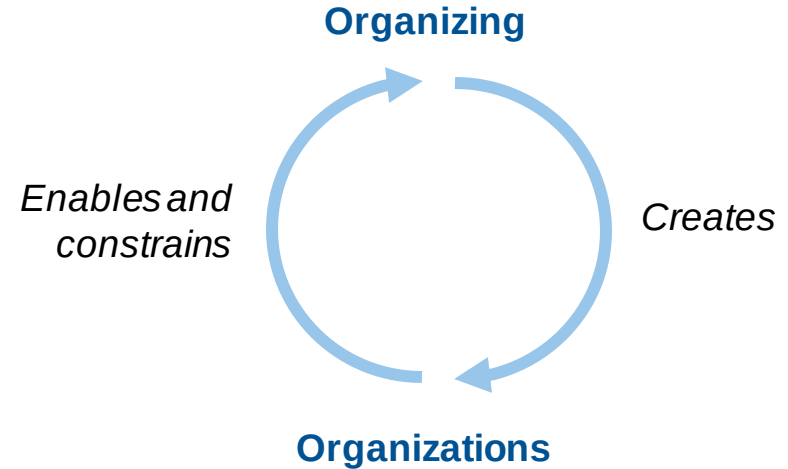
Image source: Wikimedia, GA Kevin



From structures to ongoing organizing

- Formal structures do not act by themselves
- Organizing happens through recurrent action and interaction
- Structures are stabilized through ongoing coordination
- **Definition:** Organizing is the process of establishing and adjusting coordinated action among interdependent actors in order to accomplish collective goals.

→ **To understand organizations, we must study both structure (how it looks now) and process (how it is recreated).**



From organization to management

Two different understandings of “management”

Management as actors

- People in formal managerial roles
- For example, team leads, department heads, executives

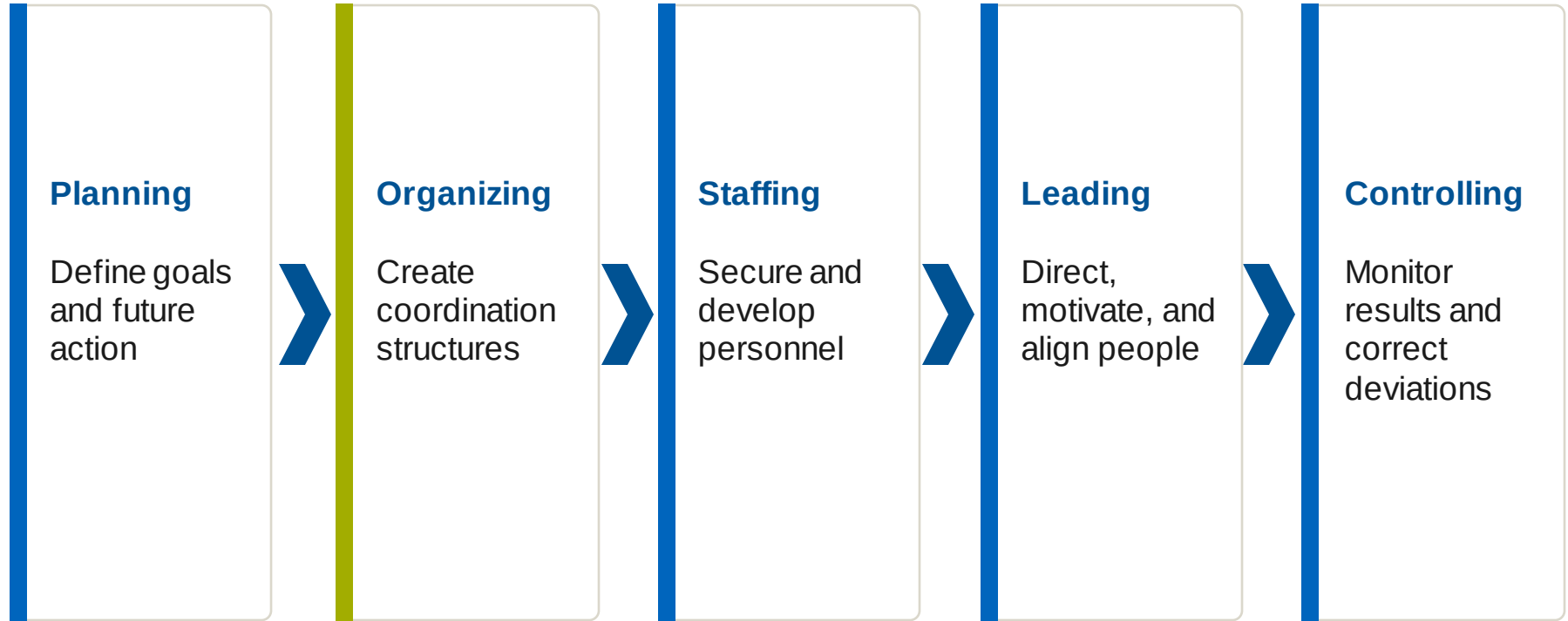
Management as activity

- Activities needed to make organizations work
- May be distributed, usually not concentrated in one person

Five classical management functions



Five classical management functions



Schreyögg, G., & Geiger, D. (2024). Organisation: Grundlagen moderner Organisationsgestaltung. Mit Fallstudien (7th ed.). Springer Gabler.

What becomes visible when you analyze an organization?

Briefly consult with your neighbor and share your results with the class.

Choose one familiar organization and ask

- Which of today's concepts helps most?
- Where do formal structure and real practice diverge?
- Which of the three perspectives on organizations (i.e., rational, natural, open system) resonate with you and why?



Image source: ChatGPT

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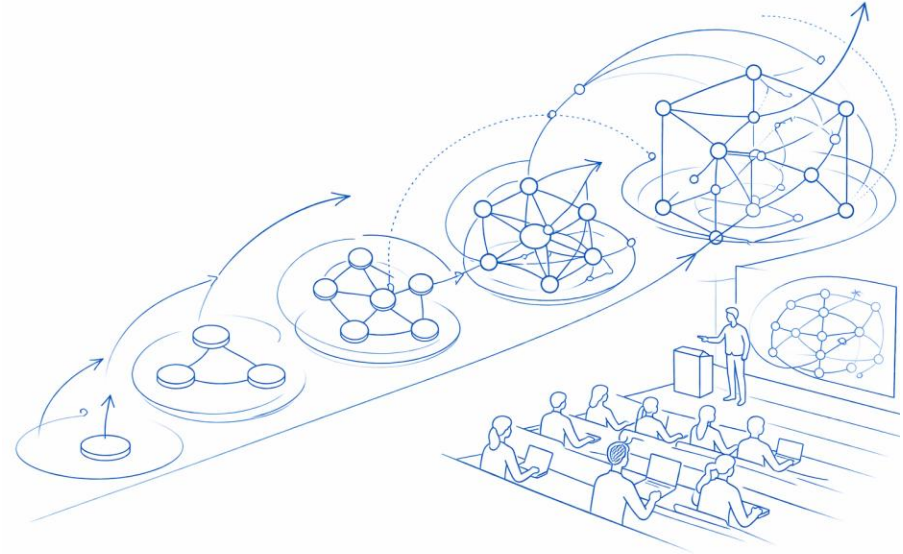
Exercise “University student consulting club”

What this exercise session does

Learning goals

- Apply the lecture definition of organization to a concrete case
- Recognize key problems of organizing and propose solutions
- Compare rational, natural, and open system perspectives

The aim is understanding through use, not additional theory coverage.



Case: University student consulting club



Part 1: Definition of organizations

- You are a member of a university student consulting club at TUM.
- Form teams of four to six people.
- Discuss the following question: To what extent does the student consulting club align with the criteria of an organization?
- You have 15 minutes.
- Be prepared to share your insights in class.

Case: University student consulting club

Part 2: Key problems of organizing

- You are organizing a large recruiting event with company partners, volunteers, and student participants.
- Identify a key organizing problem you face.
- How would you address it?
- Create one slide with your solution in Google Drive. Ensure that one team member edits the slide.
- You have 20 minutes.
- Be prepared to present your solution.



Case: University student consulting club

Part 2: Key problems of organizing

Add your team name here

Problem of organizing

- text

Proposed solutions

- text

Case: University student consulting club



Part 3: Perspectives on organizations

- Apply one of the three perspectives, rational, natural, or open system, to the recruiting event.
- Discuss what your perspective reveals and where it is limited.
- You have 20 minutes.
- Be prepared to discuss your insights in class.

Takeaways from today



1. Organizations are social, goal-oriented, and structured entities that are embedded in and interact with their environment.
2. Organizations address key problems of collective action: structuring tasks, sustaining motivation, coping with uncertainty, coordinating emergent processes, and managing change.
3. Three perspectives on organizations: rational systems, natural systems, and open systems.
4. Organization relates to organizing and management.

Homework assignment

Please read the case study “BP Deepwater Horizon, **Part 1**” on Moodle for next week’s session.



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